Ans. (d) : The correct match is:

	List-I		List-II
A.	Smallest planet of the solar system	1.	Pluto
B.	Largest planet of the solar system	2.	Jupiter
C.	Planet second from system	3.	Venus
D.	Planet nearest to the Sun	4.	Mercury

* Now, mercury is the smallest planet.

INDIAN CONSTITUTION AND POLITY

54. The Indian parliamentary system is different from the British parliamentary system in that India has:

(a) Both a real and a nominal executive
(b) A system of collective responsibility
(c) Bicameral legislature
(d) The system of judicial review

Ans. (d) : The parliamentary system of government in India is largely based on the British parliamentary system. However, it never became a replica of the British system and differs in some respects. The British system is based on the doctrine of the sovereignty of Parliament, while the Parliament is not supreme in India and enjoys limited and restricted powers due to a written Constitution, federal system, judicial review and fundamental rights.

55. Panchayat Raj was first introduced in India in October, 1959 in:

(a) Rajasthan
(b) Tamil Nadu
(c) Kerala
(d) Karnataka

Ans. (a) : Panchayati Raj System was first introduced in Nagaur district of Rajasthan on October 2, 1959 followed by Andhra Pradesh in 1959.

56. Which one of the following schedules of the Constitution of India contains provisions regarding anti-defection Act?

(a) Second Schedule
(b) Fifth Schedule
(c) Eighth Schedule
(d) Tenth Schedule

Ans. (d) : Then tenth schedule inserted in the constitution by 52nd (1985) amendment Act deals with Anti-defection law.

ECONOMY

57. According to the World Development Report, low income economies are those for which the per capital GNP in 1994 was:

(a) US $ 924 or less
(b) US $ 825 or less
(c) US $ 725 or less
(d) US $ 525 or less

Ans. (c) : According to world development report 1994 low income economics are those with a GNP per capita of $725 or less. It was $ 675 or less in 1992.

58. The current price index (base 1960) in nearly 330, this means that:

(a) All items cost 3.3 times more than what they did in 1960
(b) The prices of certain selected items have gone up to 3.3 times
(c) Weighted mean of prices of certain item has increased 3.3 times
(d) Gold price has gone up 3.3 times

Ans. (c) : The current price index (base 1960) is nearly 330. This means that weighted means of prices of certain item has increased 3.3 times.

59. The banks are required to maintain a certain ratio between their cash in hand and total assets. This is called:

(a) SBR (Statutory Bank Ratio)
(b) SLR (Statutory Liquid Ratio)
(c) CBR (Central Bank Reserve)
(d) CLR (Central Liquid Reserve)

Ans. (b) : The banks are required to maintain a certain ratio between their cash in hand and total assets. This is called SLR (Statutory Liquid Ratio).
The ratio of liquid assets to net demand and time liabilities (NDTL) is called statutory liquidity ratio (SLR). Banks have to report to the RBI every alternate Friday their SLR maintenance, and pay penalties for failing to maintain SLR as mandated.

60. The accounting year of the Reserve Bank of India is:

(a) April-March
(b) July-June
(c) October-September
(d) January-December

Ans. (b) : When the question was asked the accounting year of the Reserve Bank of India was July1 - June 30. But in September 2019, a decision at RBI directors meet was taken to change the RBI financial accounting year to March-April to align itself with the central government calendar.

61. Which one of the following is the correct sequence of decreasing order of the given currencies in terms of their value in Indian Rupees?

(a) US dollar, Canadian dollar, New Zealand dollar, Hong Kong dollar
(b) US dollar, New-Zealand dollar, Canadian dollar, Hong-Kong dollar
(c) US dollar, Hong-Kong dollar, New Zealand dollar, Canadian dollar
(d) US dollar, Hong-Kong dollar, Canadian dollar, New-Zealand dollar

Ans. (a) :

Foreign currencies		Value of INR
US Dollar	–	75.04
Canadian Dollar	–	60.70
NZ Dollar	–	53.01
Hong Kong Dollar	–	09.65

62. 'Eco mark' is given to the Indian products that are:

(a) Pure and unadulterated
(b) Rich in proteins
(c) Environment friendly
(d) Economically viable

Ans. (c) : To increase consumer awareness, in the year 1991, the Bureau of Indian Standards launched the eco-labeling scheme known as Ecomark' for easy identification of environment-friendly products. Any product which is made, used or disposed of in a way that significantly reduces the harm to the environment could be considered environment friendly as product. The criteria follow cradle-to-grave approach, i.e., from raw material extraction to manufacturing and to disposal. The Ecomark' label is awarded to consumer goods which meet the specified environmental criteria and the quality requirements of Indian Standards.

63. Capital Account Convertibility of the Indian Rupee implies:

(a) That the Indian Rupee can be exchanged by the authorised dealers for travel
(b) That the Indian Rupee can be exchanged for any major currency for the purpose of trade in goods and services
(c) That the Indian Rupee can be exchanged for any major currency for the purpose of trading financial assets
(d) None of the above

Ans. (c) : Capital account convertibility means free conversion of cross-border capital flows. Any entity can convert domestic currency into hard currency at the prevailing market rate and take hard currency out of the country without the need of offering any explanation.

64. Economic Survey in India is published officially, every year by the:

(a) Reserve Bank of India
(b) Planning Commission of India
(c) Ministry of Finance, Govt. of India
(d) Ministry of Industries, Govt. of India

Ans. (c) : The Department of Economic Affairs, Finance Ministry of India presents the Economic Survey in the parliament every year, just before the Union Budget. It is prepared under the guidance of the Chief Economic Adviser, Finance Ministry. It is the ministry's view on the annual economic development of the country.

65. The currency of the proposed European Monetary Union will be:

(a) Dollar (b) Euro
(c) Guider (d) Mark

Ans. (b) : When the question was asked Euro was proposed to be the currency of European Monetary Union.

66. Consider the following statements:
The price of any currency in international market is decided by the:

1. **World Bank**
2. **Demand for goods/services provided by the country concerned.**
3. **Stability of the government of the concerned country.**
4. **Economic potential of the country in question.**

Of these statements–

(a) 1, 2, 3 and 4 are correct
(b) 2 and 3 are correct
(c) 3 and 4 are correct
(d) 1 and 4 are correct

Ans. (b) : The price of any currency is international market is determined by the forces of demand and supply. Demand for a currency increases if the demand for the goods and services provided by that country increases. Moreover, a stable Govt gives confidence to investors and raises the demand for currency of that country.

67. A consumer is said to be in equilibrium, if:

(a) He is able to fulfill his need with a given level of income
(b) He is able to live in full comforts with a given level of Income
(c) He can fulfill his needs without consumption of certain items
(d) He is able to locate new source of income